Solution

Journal entries

Date	Particulars		L.F.	Dr. ₹	Cr. ₹
2018	Interest on capital A/c	Dr.		1,500	
Dec. 31	To Arulappan's capital A/c				1,000
	To Nallasamy's capital A/c				500
	(Interest on capital @ 5% provided)				
,,	Profit and loss appropriation A/c	Dr.		1,500	
	To Interest on capital A/c				1,500
	(Interest on capital account closed)				
,,	Arulappan's capital A/c	Dr.		200	
	Nallasamy's capital A/c	Dr.		300	
	To Interest on drawings A/c				500
	(Interest on drawings charged)				
,,	Interest on drawings A/c	Dr.		500	
	To Profit and loss appropriation A/c				500
	(Interest on drawings account closed)				
,,	Profit and loss appropriation A/c	Dr.		17,000	
	To Arulappan's capital A/c				13,600
	To Nallasamy's capital A/c				3,400
	(Profit transferred)				

Dr. Profit and loss appropriation account for the year ended 31st December 2018 Cr.

Particulars	₹	₹	Particulars	₹
To Interest on capital A/c:			By Profit and loss A/c	18,000
Arulappan		1,000	By Interest on drawings A/c	
Nallasamy		500	Arulappan	200
To Partners' capital A/c (profit)			Nallasamy	300
Arulappan (4/5)	13,600			
Nallasamy (1/5)	3,400	**17,000**		
		18,500		18,500

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